

■ FORM 4 INSIDER CLUSTER STRATEGY

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Executive Summary

Strategy	Form 4 Insider Clusters
Capital Allocation	\$1,000.00
Positions Selected	3
Total Allocated	\$971.19
Cash Remaining	\$28.81
Lookback Period	100 days
Min Confidence	65%

Selected Positions

#1. FSBW - FS Bancorp, Inc.

Sector	Financial Services
Market Cap	\$310M
Price	\$40.68
Insider Filings	8 Form 4s (CLUSTER)
Confidence	72.0%
Position Size	8 shares = \$325.44
Hold Period	60 days

Analysis:

Multiple senior insiders, including the Chairman, President, and key EVPs, engaged in coordinated direct purchases with no selling activity, indicating strong collective conviction in the company's undervaluation. The transactions, though modest in volume, are from high-quality roles and occurred at a consistent price point, reinforcing confidence in fundamental prospects.

■ **Bull Case:** Insider cluster and recent earnings beats suggest potential for continued growth, supported by share repurchases and positive sentiment.

■ **Bear Case:** Modest buying volumes and institutional selling could limit upside, with current price already above insider purchase levels.

#2. KREF - KKR Real Estate Finance Trust Inc.

Sector	Real Estate
Market Cap	\$526M
Price	\$8.03
Insider Filings	4 Form 4s (CLUSTER)
Confidence	70.0%
Position Size	41 shares = \$329.03
Hold Period	60 days

Analysis:

Multiple senior insiders, including the CEO, COO, and directors, executed direct purchases (not option exercises) of substantial shares totaling over 78,000 units at prices near the 52-week low, demonstrating high conviction and coordination despite recent earnings misses. The absence of sell transactions reinforces the bullish signal from key decision-makers.

■ **Bull Case:** Insiders are betting on a rebound as the stock appears undervalued after poor earnings, with coordinated buying suggesting confidence in a turnaround.

■ **Bear Case:** Persistent fundamental weaknesses, including Q3 losses and revenue shortfalls, could lead to further price declines despite insider optimism.

#3. MTDR - Matador Resources Company

Sector	Energy
Market Cap	\$4924M
Price	\$39.59
Insider Filings	3 Form 4s (CLUSTER)
Confidence	70.0%
Position Size	8 shares = \$316.72
Hold Period	30 days

Analysis:

The insider cluster involves high-quality buyers—the Chairman/CEO, CFO, and Co-President—all making direct open-market purchases (P-Purchases) with no sells, indicating strong coordination and conviction. The transactions, though modest in total shares, demonstrate unified confidence from senior leadership familiar with the company's operations and strategy.

■ **Bull Case:** Coordinated buying by top executives suggests underlying value and potential upside from improved operational efficiency or energy price recovery.

■ **Bear Case:** Volatile oil and gas markets, combined with the company's lack of reported earnings, could lead to sustained pressure on the stock price despite insider optimism.

■ Trading Instructions

1. **MANUAL APPROVAL REQUIRED** - Review each position carefully
2. Approve or reject each position when prompted
3. Only approved positions will be eligible for trading
4. Place limit orders at market price or better for approved positions
5. Set calendar reminders for hold period expiration
6. Monitor insider activity weekly for changes
7. Rebalance next Sunday based on new Form 4 clusters